Brand Credibility, Brand Consideration, and Choice

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We examine the role of brand credibility (trustworthiness and expertise) on brand choice and consideration across multiple product categories that vary in regard to potential uncertainty about attributes and associated information acquisition costs and perceived risks of consumption. We find that brand credibility increases probability of inclusion of a brand in the consideration set, as well as brand choice conditional on consideration. We also find that although credibility impacts brand choice and consideration set formation more and through more constructs in contexts with high uncertainty and sensitivity to such uncertainty, credibility effects are present in all categories. Finally, our results indicate that trustworthiness, rather than expertise, affects consumer choices and brand consideration more.

One of the most important roles played by brands (understood to be "a name, term, sign, symbol or design, or a combination of them which is intended to identify the goods and services of one seller or a group of sellers and to differentiate them from those of competitors"; Kotler 1997, p. 443) is their effect on consumer brand choice and consideration.

In this article, we propose and test that one important mechanism through which brands' impact on choice and consideration materializes is via brand credibility. When imperfect and asymmetric information characterize a market, economic agents (i.e., consumers and firms) may use signals (i.e., manipulable attributes or activities) to convey information about their characteristics (Spence 1974). To be effective, such signals must be credible (Tirole 1990). Previous literature has studied the credibility of a brand as a signal of quality or product positions (Erdem and Swait 1998; Rao and Ruekkert 1994; Wernerfelt 1988). The credibility of a brand as a signal (i.e., brand credibility) has been conceptualized as the believability of the product position information contained in a brand.

While previous research has explored the impact of credibility on product utility, we investigate brand credibility's effect on consideration and brand choice conditional on consideration. We also research the differential mechanisms through which credibility exerts its influence on choice and consideration across categories that vary in regard to potential uncertainty about attributes and associated information acquisition costs and perceived risks of consumption. This work extends previous work on brand credibility by explicitly considering the two subdimensions of brand credibility (trustworthiness and expertise).

Our results indicate that brand credibility affects both conditional brand choice and consideration. These effects are found in a broad array of product classes we tested, varying from simple fruit juices to personal computers (PCs). The products were selected to reflect different degrees of consumer uncertainty with respect to product attributes and associated information acquisition costs and to perceived risks of consumption; this uncertainty is confirmed by this research to underlie the differential role of brand credibility in consideration and choice. In general, it is found that trustworthiness, the subdimension of brand credibility relating to consumers' perceptions of firms' willingness to carry through on promises made, exerts a more important impact than expertise (firms' perceived capability to deliver on promises) on respondents' brand consideration and choice. However, there is considerable variation in the relative importance of trustworthiness vis-à-vis expertise across product categories. The mechanisms whereby brand credibility works its impacts, that is, via perceived quality, perceived risk, and information costs saved constructs, are explored in some detail, but specific results are left for later sections.

BRAND CREDIBILITY'S IMPACT ON BRAND CHOICE AND CONSIDERATION

Previous empirical work on how consumers may narrow attention to a subset of brands out of a bigger set has focused

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on modeling consumer choices as the outcome of a two-stage process of consideration set formation and conditional brand choice (e.g., Andrews and Srinivasan 1995; Roberts and Lattin 1991; Swait and Ben-Akiva 1987). The main approach to conceptualizing consideration sets in the literature has been the cost-benefit approach (Hauser and Wernerfelt 1990). This approach employs the expected utility maximization framework to advance the notion that consumers weigh the cost of brand evaluation for membership in this subset against the benefits of adding or dropping the brand. This implies consumer uncertainty about brands.

Brand Credibility

When consumers are uncertain about brands and the market is characterized by asymmetric information (i.e., firms know more about their products than do consumers), brands can serve as signals of product positions (Wernerfelt 1988). As a signal of product positioning, the most important characteristic of a brand is its credibility. A firm can use various marketing mix elements besides the brand to signal product quality: for example, charging a high price, offering a certain warranty, or distributing via certain channels. Each of these actions may or may not be credible, depending on market conditions including competitive and consumer behavior. However, what sets brands apart from the individual marketing mix elements as credible signals is that the former embody the cumulative effect of past marketing mix strategies and activities. This historical notion that credibility is based on the sum of past behaviors has been referred to as reputation in the information economics literature (see Herbig and Milewicz 1995).

Credibility is broadly defined as the believability of an entity's intentions at a particular time and is posited to have two main components: trustworthiness and expertise. Thus, brand credibility is defined as the believability of the product information contained in a brand, which requires that consumers perceive that the brand have the ability (i.e., expertise) and willingness (i.e., trustworthiness) to continuously deliver what has been promised (in fact, brands can function as signals since—if and when they do not deliver what is promised—their brand equity will erode). Both the expertise and trustworthiness of a brand reflect the cumulative impacts of associated past and present marketing strategies and activities. The credibility of a brand has been shown to be higher for brands with higher marketing mix consistency over time and higher brand investments, ceteris paribus (Erdem and Swait 1998). Consistency refers to the degree of harmony and convergence among the marketing mix elements and the stability of marketing mix strategies and attribute levels over time. The consistency of attribute levels over time—for example, consistency in quality levels—implies low "inherent product variability" (Roberts and Urban 1988), which can be achieved by a dedication to quality standardization. However, the consistency to which we refer is that of the brand positioning in general. Brand investments, on the other hand, are resources that firms spend on brands to (1) assure consumers that brand promises will be kept and (2) demonstrate longer-term commitment to brands (Klein and Leffler 1981). Furthermore, it has also been shown that the clarity (i.e., lack of ambiguity) of the product information contained in a brand is an antecedent to brand credibility (Erdem and Swait 1998).

As also suggested by Aaker (1991), higher perceived (or expected) quality, lower information costs, and risk associated with credible brands may increase consumer evaluations of brands. Indeed, Erdem and Swait (1998) have shown, using structural equation models, that expected utility is increasing in perceived quality and decreasing in perceived risk and information costs.

Brand Credibility, Brand Consideration, and Choice

Such a signaling framework of brand effects on consumer brand utility and choice also implies that when there is consumer uncertainty about brands and information is costly to obtain and/or process, the credibility of a brand may be an important factor underlying the formation of consideration sets. The cost-benefit approach to consideration and choice set formation suggests that the higher perceived value and lower perceived risk associated with a higher credibility brand are anticipated to increase expected benefits (Hauser and Wernerfelt 1990). Additionally, the lower information costs associated with credible brands are likely to decrease expected costs, while the credibility of a brand decreases perceived risk because it increases consumers' confidence in a firm's product claims. Credibility also decreases information costs since consumers may use credible brands as a source of knowledge to save information gathering and processing costs (e.g., reading *Consumer Reports*, doing online searches for product reviews, seeking advice from experts; Erdem and Swait 1998). Indeed, previous work has suggested that high levels of cognitive effort needed to evaluate specific brands may induce negative affect and may lead to lower choice probabilities (Garbarino and Edell 1997). Consequently, we expect that

> **H1:** Higher credibility will both increase the probability of a brand being included in the consideration set and the probability of its being chosen from the consideration set.

However, there is evidence in the literature that different variables may affect consideration and brand evaluation conditional on consideration (Nedungadi 1990). Given that it has been shown in previous research that brand credibility effects on consumer utility materialize through perceived quality, perceived risk, and information costs saved (Erdem and Swait 1998), the next question would concern the differential effects of these three brand credibility mediator constructs on choice versus consideration.

More specifically, perceived risk can be used in the initial screening before the brand choice stage. Furthermore, the impact of perceived risk may be much less, or even neg-

TABLE 1

MEASUREMENT MODEL ITEMS AND ESTIMATED COEFFICIENTS

Construct	Item	Cronbach's α
Expertise	This brand reminds me of someone who's competent and knows what he/she is doing (+)	.77
	This brand has the ability to deliver what it promises (+)	
Trustworthiness	This brand delivers what it promises (+)	.89
	This brand's product claims are believable (+)	
	Over time, my experiences with this brand have led me to expect it to keep its promises, no more and no less (+)	
	This brand has a name you can trust (+)	
	This brand doesn't pretend to be something it isn't (+)	
Perceived Quality	The quality of this brand is very high (+)	.77
	In terms of overall quality, I'd rate this brand as a . . . (+)	
Perceived Risk	I'd have to try it several times to figure out what this brand is like (+)	.64
	I never know how good this brand will be before I buy it (+)	
Information Costs Saved	I need lots more information about this brand before I'd buy it (−)	.75
	I know what I'm going to get from this brand, which saves time shopping around (+)	
	I know I can count on this brand being there in the future (+)	
	This brand gives me what I want, which saves me time & effort trying to do better (+)	

NOTES.—All scales formed as simple averages of component items, reverse scored for negative items. All items measured on nine-point agree/disagree scales except second quality item, which was measured on nine-point scales with 1 = low quality, 9 = high quality. Signs (+/−) indicate a priori sign expectation.

ligibly, important at the conditional brand choice stage due to the exclusion of high-risk brands from the consideration set during the earlier screening stage of the choice process. Therefore, we expect

H2: Brand credibility's impact through perceived risk to be found mainly at the consideration set formation stage, rather than at the brand choice conditional on consideration stage.

Furthermore, quality and price trade-offs are more likely to be made explicitly at the brand choice stage rather than at the choice set formation stage (Nedungadi 1990). Therefore, in the context of brand choice conditional on consideration set, we expect

H3: Brand credibility's impact through perceived quality to be more pronounced on brand choice conditional on consideration set, rather than on consideration set formation.

The third construct following brand credibility, information costs saved, can have the same screening function as perceived risk at the consideration set formation stage. However, in most product categories in which potential information costs are above a certain threshold, or there is relative brand uncertainty (Moorthy, Ratchford, and Talukdar 1997), information costs saved are likely to continue to be important at the brand choice stage. Hence, one needs to test empirically whether brand credibility's impact through information costs saved can be found at both the consideration set formation stage and brand choice conditional on consideration set.

Brand Credibility's Impact on Choice Processes and Product-Category Specific Factors

In contexts where uncertainty levels and sensitivity to uncertainty are higher (e.g., PCs, as compared to orange juice), one would expect credibility to have a greater impact on consumer choice processes; additionally, credibility's impact through perceived risk and information costs saved, over and above its impact through perceived quality, should be more pronounced.

EMPIRICAL TEST

In the data collection for this study we have used six product classes: athletic shoes, cellular telecommunications services, headache medication, juice, personal computers, and hair shampoo. The survey we fielded at a major North American university had eight different versions, each covering three of the six product classes just enumerated. In each product class, five brands were presented, selected so that the brand set represents a wide range of market share.[1] For each brand, respondents were asked to provide responses to the items listed in table 1 for the Trustworthiness, Expertise, QUAL (Perceived Quality), RISK (Perceived Risk), and ICS (Information Costs Saved) constructs. These items are directly taken from Erdem and Swait (1998), who validated the desired scales; we employed the same nine-point agree/disagree scales used by them. In addition, three out-

[1]Brands utilized were for athletic shoes: Adidas, Asics, New Balance, Nike, Reebok; cellular service providers: AT&T, Cingular, Nextel, Sprint PCS, Verizon; headache medication: Advil, Bayer, Excedrin, Motrin IB, Tylenol; juice: Dole, Minute Maid, Sunkist, Tropicana, Welch's; personal computers: Apple, Compaq, Dell, Gateway, IBM; hair shampoo: Alberto VO5, Herbal Essence, Finesse, Pantene Pro V, Suave.

TABLE 2

BRAND CONSIDERATION BINARY LOGISTIC MODELS

	Athletic shoes	Cellular provider	Headache medication	Juice	Personal computer	Shampoo
A. Trustworthiness/Expertise models:						
Brand 1	1.44**	2.50**	2.89**	2.38**	.41	.94**
Brand 2	1.03**	1.09**	.95**	2.19**	1.18**	1.35**
Brand 3	2.09**	.48*	1.10**	.71**	2.50**	.86**
Brand 4	2.68**	.77**	1.45**	1.52**	1.25**	1.73**
Brand 5	.24	1.21**	2.53**	1.41**	1.56**	.77**
Trustworthiness[a]	1.07**	1.12**	.96**	.83**	1.56**	.73**
Expertise[b]	.63**	.70**	.72**	.77**	.38*	.62**
Trust × Uncer[c]	−.48	−.06	−1.02	−.06	−1.14	.22
Exper × Uncer	.66	−.52	1.38**	−.35	1.14**	−.12
Trust × Uncer × Fam[d]	.55	.12	−1.23	.38	1.88**	−.94
Exper × Uncer × Fam	−.42	.13	−.46	.94	−1.71	−.24
McFadden's ρ^2	.47	.45	.49	.42	.48	.38
B. Perceived Quality/Risk/Information Cost models:						
Brand 1	1.37**	2.28**	2.39**	2.23**	.53*	.97**
Brand 2	1.35**	1.38**	1.06**	2.28**	1.41**	1.09**
Brand 3	2.16**	.49	1.26**	1.07**	2.45**	1.02**
Brand 4	2.09**	.77**	1.72**	1.68**	1.04**	1.35**
Brand 5	.03	1.19**	1.72**	1.53**	1.35**	1.07**
Perceived Quality[e]	.77**	1.17**	1.56**	1.44**	1.09**	.88**
Perceived Risk[f]	−.23*	.08	−.18	.06	−.28**	−.09
Information Costs Saved[g]	.88**	1.02**	.26	−.2	.62**	.62**
McFadden's ρ^2	.45	.47	.47	.46	.44	.36

[a]Trustworthiness score calculated as the average on nine-point agree/disagree scales of five Trustworthiness items from table 1. This is then centered across brands in the product category, within each subject.
[b]Expertise score calculated as the average on nine-point agree/disagree scales of two Expertise items from table 1. This is then centered across brands in the product category, within each subject.
[c]Uncertainty score is calculated as the sum of "Whenever one chooses in this product category, one never really knows whether that is the one that should have been bought" and "When one makes purchases in this product category, one is never certain of one's choice," where association of the statement with the product category results in a score of one, and zero otherwise. This is then centered across product categories, within each subject.
[d]Familiarity score is defined as one if "I consider myself familiar with this product category" is associated with the product class, and zero otherwise.
[e]Perceived Quality is calculated as the average of two Perceived Quality items in table 1, centered within subject.
[f]Perceived Risk is calculated as the average of two Perceived Risk items in table 1, centered within subject.
[g]Information Costs Saved is the average of four Information Costs Saved items in table 1, centered within subject.
*$p < .05$.
**$p < .01$.

come measures for each brand were elicited: consideration—"Assuming prices are the same, I would seriously consider buying this brand. (Check all that apply.)"; choice—"Assuming prices are the same, this is the one brand I would be most likely to buy. (Check one only.)"; allocation—"Assuming prices are the same, if you were to buy 10 [units of . . .] at one time, how many of each brand would you buy?" (Both choice and allocation measures were included for convergent validity purposes. We will report only on the choice results, since the allocation models mirror them closely.) Note the ceteris paribus equal price condition: this was done to permit the omission of price (unknown to us and the participants) from subsequent analyses. Respondents also indicated whether they considered themselves familiar or not with each of the six product categories, as well as whether or not they viewed their choices in each of the product categories as being uncertain or not (i.e., the degree of uncertainty about having made a good selection they associate with a choice in a product category).

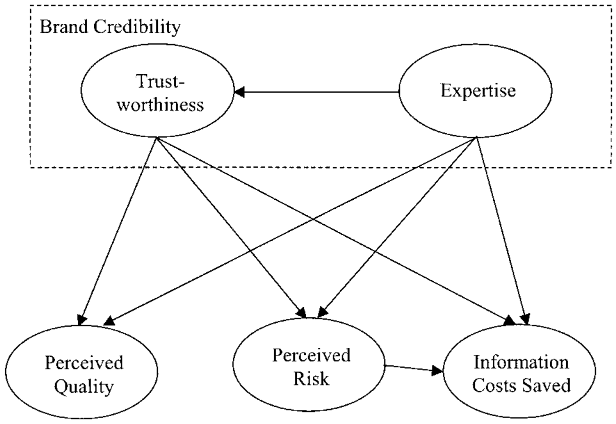
With each respondent providing data on three product classes, our final sample sizes are 83 for athletic shoes, 84 for cellular services, 83 for headache medication, 83 for juice, 82 for personal computers, and 83 for shampoo. All respondents received course credit as incentive for participation.

Construct estimates were obtained as follows for each brand, product class, and individual: an average score over the relevant items (as given in table 1) was calculated for each product class, brand, and individual, and then centered about the mean brand score of the individual in the product class. For completeness we report in table 1 the Cronbach's alpha measures for the constructs thus defined; all constructs have alpha measures over .6. The definitions of Familiarity and Uncertainty, as well as the other constructs, are detailed in the notes of table 2. Centering of constructs is done to eliminate ambiguity of interpretation: a significant construct estimate can only mean that within-respondent construct variation underpins the result.

Table 2 presents two sets of models, per figure 1 (and Erdem and Swait 1998), wherein Trustworthiness and Ex-

FIGURE 1

STRUCTURAL RELATIONSHIPS BETWEEN BRAND CREDIBILITY, PERCEIVED QUALITY, PERCEIVED RISK, AND INFORMATION COSTS SAVED



pertise are posited as antecedents to QUAL, RISK, and ICS. Thus, in turn, the binary logistic regressions relate brand consideration (yes/no) to the two sets of constructs in each of the six product classes: (1) Trustworthiness and Expertise, the subcomponents of brand credibility, interacted with Familiarity and Uncertainty, and (2) QUAL, RISK, and ICS, the downstream constructs reflecting brand credibility. Our motivation in interacting Familiarity and Uncertainty (about choices) with the core Trustworthiness and Expertise constructs is to aid our understanding about limits that may hold to the main effects being considered here. We will explain these in more detail subsequently.

Let us now examine the Trustworthiness/Expertise results in table 2A. Clearly, across all product classes, as each of these credibility components increases, so does the probability that the brand is considered by the respondent. In all product classes, estimated coefficients for the main effects of these two constructs are significantly different from zero at the 95% confidence level. In this population of respondents, undergraduate university students, it seems that Trustworthiness is generally more impactful than Expertise perceptions; this is particularly notable in PCs, where the main effect of Trustworthiness is about three times more important than that of Expertise in terms of increasing brand consideration probabilities (using log odds ratios as the comparison metric). In two product classes, Headache Medication and Personal Computers, the impact of Expertise on consideration probabilities is moderated by Uncertainty: the more uncertain a respondent perceived him/herself to be about choices made in these product categories, the greater role their brand Expertise perception had in determining consideration. No systematic interaction between Uncertainty and Trustworthiness was found in any of the product classes. However, the role of Trustworthiness is moderated by Uncertainty among respondents that were familiar with the PC category, as captured through the significant third-order interaction (Trustworthiness × Uncertainty × Familiarity). These last results reflect the intuition that individual difference variables (Uncertainty and Familiarity, among many others, we are sure) are likely to help establish boundary conditions for the applicability of the theory presented.

It is noteworthy that in all product categories the main effects of the centered Trustworthiness and Expertise constructs are statistically significant, indicating that the principal hypothesis 1 holds generally but becomes stronger or weaker under certain conditions. Note again that the results hold due to brand credibility differences at the individual respondent level.

Table 2B also presents the logistic regression results for brand consideration as a function of QUAL, RISK, and ICS. These models are interesting to examine because they indicate how brand credibility may work in impacting brand consideration. (These models do not include individual difference variables since their main intent is to explore the means whereby credibility impacts are generated.) We find that QUAL consistently shows up as a statistically significant explanator of brand consideration and is the most impactful variable of the three constructs in all product categories save athletic shoes. The RISK model is statistically significant in athletic shoes and PCs, marginally significant in headache medication, and not significant in juice, cellular services, or hair shampoo. Finally, ICS is statistically significant in athletic shoes, cellular services, PCs, and hair shampoo; thus, increased brand credibility allows these subjects to simplify decision making by saving time and only considering brands with high ICS (i.e., implying high Trustworthiness and/or Expertise as well as low RISK). These combined results seem to suggest that overall perceived risk and information costs saved play a bigger role in categories with higher uncertainty and sensitivity to uncertainty.

Table 3 presents estimation results for multinomial logit models of the choice response variable. Note that all these models have choice sets that include only those brands that the individual respondents indicated they would consider buying, hence they are conditional on stated consideration. This seemed to us a reasonable procedure to help isolate the brand credibility effects that are found to those that occur during product evaluation and not brand consideration (already captured in the models discussed in table 2). This does, however, imply that the choice sets defined for the choice models in table 3 contain far fewer observations than were available for the consideration analyses presented in table 2 (each respondent provided one choice observation but five consideration observations in each product category).

Table 3A generally demonstrates that brand credibility (via Trustworthiness and Expertise) significantly impacts the stated choice behavior of our respondents across all product classes used in the study, with the exception of the shampoo product class. As mentioned above, due to smaller sample sizes in the choice models compared to the consideration models of table 2, several of the Trustworthiness and Expertise main effect coefficients are not significantly different from zero, but all are directionally correct. Almost none of

TABLE 3

BRAND CHOICE MULTINOMIAL LOGIT MODELS (CONDITIONAL ON STATED CONSIDERATION)

	Athletic shoes	Cellular provider	Headache medication	Juice	Personal computer	Shampoo
A. Trustworthiness/Expertise models:						
Brand 1	1.47**	.64*	.12	−.27	−3.86**	.24
Brand 2	.32	−.15	−1.12	−.09	−1.07	.97
Brand 3	1.44**	−.42	0	−1.36	.73*	.23
Brand 4	1.36**	−.38	.38	−.79	−1.55*	1.14
Brand 5	0	0	0	0	0	0
Trustworthiness[a]	.54	.33	1.37**	2.48**	2.14**	.64
Expertise[b]	.72**	1.15**	.73	1.02	.17	.96
Trust × uncer[c]	−.69	.66	−.14	−.94	−3.67*	.46
Expert × uncer	.58	−1.06**	.5	−.24	6.31	.02
Trust × uncer × fam[d]	1.18	−1.18*	.16	2.11	2.29	−1.07
Exper × uncer × fam	.73	1.07**	−.05	1.1	−4.76	−.07
McFadden's ρ^2	.27	.27	.39	.37	.55	.29
B. Perceived Quality/Risk/Information Cost models:						
Brand 1	1.95**	.60	.08	−.14	−2.03	.65
Brand 2	.80	.25	−.70	.23	−.27	.64
Brand 3	1.92**	−.60	.17	−.77	1.17**	.04
Brand 4	1.66**	−.20	.43	−.12	−.76	.80
Brand 5	0	0	0	0	0	0
Perceived Quality[e]	1.19**	1.29**	.93**	3.09**	1.53**	1.55**
Perceived Risk[f]	−.07	.07	−.29	.19	−.53	−.35
Information Costs Saved[g]	.69**	−.20	1.09**	.29	1.56**	.65
McFadden's ρ^2	.34	.36	.36	.58	.59	.41

[a]Trustworthiness score calculated as the average on nine-point agree/disagree scales of five Trustworthiness items from table 1. This is then centered across brands in the product category, within each subject.
[b]Expertise score calculated as the average on nine-point agree/disagree scales of two Expertise items from table 1. This is then centered across brands in the product category, within each subject.
[c]Uncertainty score is calculated as the sum of "Whenever one chooses in this product category, one never really knows whether that is the one that should have been bought" and "When one makes purchases in this product category, one is never certain of one's choice," where association of the statement with the product category results in a score of one, and zero otherwise. This is then centered across product categories, within each subject.
[d]Familiarity score is defined as one if "I consider myself familiar with this product category" is associated with the product class, and zero otherwise.
[e]Perceived Quality is average brand scores calculated using items in table 1, which were then centered at the subject-brand level.
[f]Perceived Risk, average brand scores calculated using items in table 1, which were then centered at the subject-brand level.
[g]Information Costs Saved is average brand scores calculated using items in table 1, which were then centered at the subject-brand level.
*$p < .05$.
**$p < .01$.

the Uncertainty and Familiarity interactions with the main constructs are significant, again likely due to sample size. Table 3B also yields some information about the likely routes whereby brand credibility works its impact on final choice via QUAL, RISK, and ICS. Across the six product classes we examined, QUAL is always a statistically significant determinant of choice; ICS is found to be statistically significant in athletic shoes, headache medication, and PCs; and RISK is not found to be statistically significant in any of the product classes. These results seem again to suggest that information costs saved affects the brand choice stage more in categories with relatively higher levels of uncertainty and sensitivity to such uncertainty. That RISK is not influential in the conditional brand choice stage indicates that this construct's impact is likely limited to the consideration set formation stage, consistent with hypothesis 2. However, it must be noted that the results from this table are not very reliable due to small sample sizes, as we said above.

Interesting comparisons can be made between tables 2 and 3, by product class. For instance, table 2A indicates that consideration probabilities increase in Expertise for juice; table 3A, on the other hand, shows that conditional choice probabilities in this category are essentially unaffected by Expertise. This may be a sign that in this population segment, and for this product class, perceptions of Expertise are helpful in getting the brand to be considered, but Trustworthiness is likely the sine qua non of final choice. However, the simple models underlying tables 2 and 3 make such interpretations something of a guess, mainly because there is no explicit relationship between consideration, choice set formation, and final choice.

We have presented above strong statistical evidence, based on simple models of consideration and overall choice, that brand credibility works its impact onto these stages of the choice process through quality and risk perceptions, as well as through perceptions of information costs saved (i.e., decision-making costs). The results from the empirical study indicate that these results are likely to be found in a relatively wide range of product classes; they also show that there is significant heterogeneity in the overall mechanisms whereby the impact of brand credibility ultimately works itself out. For example, we found that brand consideration in the athletic shoes category is affected by all three constructs (QUAL, RISK, and ICS), whereas RISK does not seem to have an impact on the consideration of different cellular providers.

Except for juice, a very low uncertainty and low sensitivity to uncertainty (low-risk) category, brand credibility affects consideration set formation (as well as brand choice); RISK seems to be a factor only at the consideration set stage; if ICS plays a role, it does so in both decision stages; and QUAL effects are relatively more pronounced at the brand choice stage. Finally, RISK determines more strongly the consideration set stage in high-risk categories (PC and athletic shoes); ICS affects all stages of choice processes in a broader range of products but affects choice processes less in low-risk categories (juice and to lesser extent headache medication). These results are consistent with our expectations in regard to how potential uncertainty and sensitivity to it across categories may moderate credibility impacts.

While table 2A supports somewhat the contention that the differentiation of credibility impacts is likely to be a function of individual differences (herein, familiarity with and perceptions of uncertainty with respect to making good choices in the product category), the most notable insight afforded by that analysis is that across all product classes examined the main hypothesis holds: brand credibility (Trustworthiness and Expertise) is an important determinant of brand consideration. The interactions of the credibility components with Familiarity and Uncertainty indicate that brand credibility will play an even greater role in determining consideration for certain product categories (here, headache medication and PCs) and for certain individuals (e.g. high Uncertainty and Familiarity). This greater role is achieved not only by making brand credibility overall a more important determinant of consideration but also by shifting the relative importance of Trustworthiness and Expertise within the overall credibility impact. For example, in PCs the main effects of these component constructs indicate that on average Trustworthiness is about three times more important than Expertise in determining brand consideration; however, for individuals that associate low Uncertainty and have Familiarity with the product class, Trustworthiness is only half as important as Expertise perceptions in determining consideration probabilities.

DISCUSSION

In this article we present evidence for brand credibility's effect on the formation of consideration sets over and above its effect on brand choice. We also shed light on the mechanisms through which brand credibility effects materialize in the consideration set formation and brand choice stages. In regard to the two subdimensions of credibility, we also found that trustworthiness, rather than expertise, has the bigger impact on consumer choices.

Furthermore, we established some boundary conditions to our results. In the juice category, for example, our empirical study indicates that neither perceived risk nor information costs seem to matter in consumer choice processes. However, we also found that credibility affects consumer choices through perceived risk, information costs saved, and perceived quality in most categories, even those with only moderate levels of uncertainty. This result is found to hold at the individual respondent level, indicating that it is brand credibility differences that are driving consumer behavior. Finally, we also found some evidence for stronger credibility impacts for individuals who perceive higher uncertainty when choosing in a given product category.

The simple analysis methods employed in this article are unable to cleanly isolate and attribute brand credibility impacts between choice process stages. Future research should examine brand credibility impacts using structural choice set formation models to allow a purer attribution of impacts, leading to a better understanding of the mechanisms whereby brand credibility impacts choice stages. Future research should also extend our analyses to explore choice dynamics and thus explain the processes by which credibility and consideration set formation evolve over time. Additionally, and of great practical interest, more detailed analysis of individual level and product category specific moderators of credibility effects should be conducted.

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